enterprises to sell at relatively high values in the aggregate during good times or good markets. Conversely, of course, they may be subject to a greater degree of undervaluation in depression. There is, however, a real advantage in the fact that such issues, when selling on a deflated basis, can advance much further than they can decline.

American Water Works and Electric Company

Item	1921	1923	1924	1929	Ratio of 1929 figures to 1921 figures
Gross earnings*	$20,574	$36,380	$38,356	$54,119	2.63 :1
Net for charges*	6,692	12,684	13,770	22,776	3.44 :1
Fixed charges and preferred dividends*	6,353	11,315	12,780	16,154	2.54 :1
Balance for common*	339	1,369	990	6,622	19.53 :1
1921 basis:†					
Number of shares of common	92,000	100,000	100,000	130,000	1.41 :1
Earned per share	$3.68	$13.69	$9.90	$51.00	13.86 :1
High price of common	6 1/2	44 3/4	209	about 2500	385.00 :1
% earned on high price of common	56.6%	30.6%	4.7%	2.04%	0.037 :1
As reported:					
Number of shares of common	92,000	100,000	500,000	1,657,000	
Earned per share	$3.68	$13.69	$1.98	$4.00	
High price of common	6 1/2	44 3/4	41 7/8	199	

* In thousands.
† Number of shares and price adjusted to eliminate effect of stock dividends and split-ups.

The record of American Water Works and Electric Company common stock between 1921 and 1929 presents an almost fabulous picture of enhancement in value, a great part of which was due to the influence of a highly speculative capitalization structure. Four annual exhibits during this period are summarized in the table above.

The purchaser of 1 share of American Water Works common stock at the high price of 6 1/2 in 1921, if he retained the distributions made in